

Accounting or static money at the firms	Dynamic or the macroeconomic money
Money is an external element, in the sense that commercial banks or the central bank produce money rather than the corporation.	Money is an internal creation. The central bank or commercial banks are internal to the economy, and they create money.
Money is an accounting or static entity. Each accounting entry is significant in every way, and its importance is undeniable. It is true that the actions of the central bank can change the value of money and assets inside the company, but the company itself cannot create these internal distortions.	In macroeconomics, money plays a dynamic role, which is why there are two measures: nominal and real. Money in macroeconomics serves the fundamental purpose of dynamically assessing and summarising the components of GDP, including labour, capital, products, services, investment, etc. These components' relative worth to one another is always changing.
Capital and current (profit and loss) accounts are maintained separately. Although the capital account is a rough estimate, the profit and loss account give a clear picture of the company's health.	Capital and current (profit and loss) accounts cannot be maintained separately. It is unclear if the economy as a whole is booming with a secular increase in output or at the expense of future growth. Are natural resources, future labour productivity, and so on, are being cannibalized for the current growth? The image is all fuzzy. We can talk about Japan in the 1980's and China today.
The accounting identity remains valid, whether it is the balance sheet or the profit and loss account.	It is illusory to believe that the accounting identity is valid. When the central bank purchases state bonds, it creates new money. It should be noted that the owner(s) of the central bank and the Government are identical. With the same owner, and you debit one to credit the other, you create new money.
Bookkeeping money is developed in a commodity money atmosphere. As such, accounting money is a concept that fits well with tangible objects, and its nature is not illusory.	Present macroeconomics thrives on fiat money, nothing tangible. Using accounting concepts in macroeconomics, leads us astray. The central bank, during a phase of productivity gain and growth, creates new money. With accounting concepts, it will not be possible to explain the lack of matching, i.e., higher, inflation in the economy.

Defining Fiat money:

Whatever their shortcomings, commodity money and commodity-based money were well-defined. However, today's highly monetised economy cannot rely on either of the above. As a matter of fact, I think fiat money is a perfect fit for the modern economy. However, defining fiat money could be quite complex.

Take a hundred rupees note, and the Reserve Bank of India prints on it: I promise to pay the bearer of this note one hundred rupees. This promise from the Governor of the Reserve Bank of India is a fossil from the days of commodity-based money. But there is no other simple way to define money. The governor's pledge rings like this: An apple is an apple. That's no way to describe an apple. One can define it as a fruit, and by its colour, size, taste, and so on.

Unlike commodity-based money, this declaration does not clearly define fiat money, as the hundred

rupees remain undefined. The Indian Reserve Bank does in fact promise to replace your old note with a new one, period.

In macroeconomics, it is the flow of money which counts, not only the quantity. What is the total flow of money across all forms of economic operations? How does this overall financial flow affect what we measure in macroeconomics? This is where you start to define money in macroeconomics.

I tried to do this in my book, *Plural Macroeconomics*. I propose that we measure inflation across the economy cumulatively. The cumulative amount of inflation should serve as a guide for determining our tax policies. Is the value of money decreasing as inflation increases? Of course, it does. We must adopt budgetary policies to mitigate the imbalances creeping into the economy, especially in asset markets, from the erosion of the value of money.

In my book, I have tried to address the root cause of these issues. Essentially that, money should be viewed dynamically in macroeconomics. In the chapters "**Money as a Dynamic Entity**" and "**Multiple and Dynamic Seigniorage Hypothesis**", I expanded on the monetary theory. I then incorporated it into a revised fiscal theory in "**State is Violence**" and "**Societal Memory and Entropy**". You can buy a copy of the book @ Rs. 390/ per copy.

Plural Macroeconomics

ISBN: 978-93-5419-982-0 - by U P Kamath

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